THE SOFTWARE BOOM

FROM BYTES TO BILLIONS

From a $100-million fledgling in 1991 to a $250-billion powerhouse today, India's IT industry capitalised on visionary policies, pioneering companies and the Y2K opportunity to become a global leader in outsourcing and innovation

BY AJAY SUKUMARAN



COURTESY: INFOSYS

Hard data would be sufficient to illustrate the success of India's software industry, but IT veterans recall an anecdote that captures the incredulity of how it all unfolded. Sometime in 1991, when IT was a fledgling export industry of about $100 million, N. Vittal, who was then secretary of the Department of Electronics, egged on the honchos assembled at a convention of the Computer Society of India in Bengaluru to strive for exports of $400 million in the following year, in return for policy tweaks. To the sceptical gathering, Vittal narrated an Akbar-Birbal tale—in an irritable mood, the emperor had ordered Birbal to be put to death but the quick-thinking poet wangled a year's reprieve by promising to make Akbar's horse fly. His logic was apparently this: one of three events could happen in a year. Either the emperor could die, or Birbal himself, or perhaps, the horse would fly! Vittal's analogy, as it turned out, was prescient and IT exports did soar.

Indian IT made a splash on the global stage in 1986 when Texas Instruments became the first MNC to set up an R&D subsidiary in the country—with a state-of-the-art satellite communication system. In 1988-89, about 90 per cent of software exports by Indian companies were executed in the countries of the clients. The seminal event that reversed that ratio and unleashed Indian offshoring was the export-friendly Software Technology Park scheme in 1991; it gave IT companies access to critical infrastructure such as earth stations for high-speed data communication via satellites. By the end of 1999, IT exports had reached $4 billion. Today, 25 years later, the Indian IT industry's overall revenues have crossed $250 billion, creating a powerhouse that boasts of world-class companies.

Infosys, born out of the middle-class ethos of N.R. Narayana Murthy et al, became the poster boy of this awakening. Founded in 1981, it became the first Indian company to list on the Nasdaq, in 1999. Its illustri-



FROM THE ARCHIVES
Mar. 15, 1999

Cover story
Sultans of Silicon

Riding out the country's perennial problems of costly credit, surly labour and poor infrastructure, these softwarriors created a pool of knowledge workers at a nominal capital cost, and have sold their software development and maintenance services to most of the Fortune 500 companies.

–Sumit Mitra with Amarnath K. Menon and K.M. Thomas